skill, ability, specialisation and effectiveness.

4. **Fixation of Responsibility:** The total work is divided into smaller units and assigned to different persons. Each and every person knows what is expected from him/her and he/she will be held responsible for any errors or fraud which takes place in it. Internal check provides clear determination of responsibility.
5. **Reliability of Records:** The system ensures that the books of accounts and other records maintained provides reliable source of information.



1.6 Advantages of Internal Check

The main advantages of Internal Check are given below.

1. **Proper Distribution of Work:** Internal Check helps in proper distribution of work among employees based on their qualification and experience. It enables the employees to perform the work efficiently.
2. **Detection and Prevention of Errors and Frauds:** The main object of internal check is to minimize the occurrence of errors and frauds, as no individual person does the work from the beginning to the end and the work of one person is checked by another person.
3. **Increases Efficiency:** A good system of internal check, increases the efficiency of work of employees as the right work is allocated to the right person taking into account his skill and experience.
4. **Determination of Employees Liability:** Internal check system clearly determines the responsibilities of the employees. Hence, the liability of the employees can be easily fixed due to irregularities or negligence caused by the employee.

Chapter_01.indd 5 12/23/2019 2:49:43 PM